



Pride Dealer Services

Vehicle Reconditioning & Condition Reports — Wholesale Auto Auction

Raising \$750,000 — Called in Three Tranches

25%

EQUITY AT FULL RAISE

\$2.25M

PRE-MONEY

\$0

DEBT ON THE BOOKS

51.3%

2026 GROSS MARGIN

28.2%

2026 NET MARGIN

\$1.33M

2026 REVENUE RUN-
RATE

\$374K

2026 NET INCOME RUN-
RATE

Profitable and debt-free

Every liability account at nil; 28.2% net margin

Margin tripled in two years

26.0% → 37.2% → 51.3% gross

Expansion is contracted, not hoped for

Letters of intent in hand from Manheim

The raise funds the site outright

No lender, no debt service, no financing contingency

All figures from the Company's live QuickBooks general ledger. 2026 covers January 1 – August 31.

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The Business

Pride Dealer Services provides vehicle reconditioning, condition reporting, detailing and photography to the wholesale auto-auction industry — delivered on-site, billed per unit, under recurring enterprise relationships. Florida S-corporation, operating since 2020, 100% owned by Nelson Cajas.

Two Enterprise Anchors

RELATIONSHIP	2025	2026 (JAN–AUG)	CHARACTER
Manheim / Cox Automotive	\$1,530,534	\$552,389	Multi-site, recurring, per-unit
Dent Wizard International	\$926,260	\$329,542	Multi-site, bundled with dent repair
Two networks combined	63.7%	99.7%	of total revenue

Why It Is Sticky

Work is embedded in the auction's own throughput — vehicles cannot be sold without a condition report. Multi-year, multi-location, per-unit billing.

Why It Scales

One repeatable unit: a condition-report writer. Add writers, add sites. Field labour is 1099 and paid per production, so cost flexes with volume.

Preferred Status

Certified under Manheim's Supplier Diversity Program — preferred-vendor access across a network of 100+ locations nationwide.

The Concentration

Two networks are 99.7% of 2026 revenue and one site is 54.5%. This is the principal risk, and what the expansion is designed to correct.

Financial Performance

PER THE GENERAL LEDGER	2024	2025	2026 (JAN-AUG)
Revenue	\$5,464,666	\$3,859,075	\$884,836
Gross profit	\$1,419,470	\$1,434,431	\$453,667
Gross margin	26.0%	37.2%	51.3%
Operating expenses	\$914,690	\$1,231,092	\$204,138
Net income	\$504,779	\$203,339	\$249,529

Revenue fell by design; profit did not. Through the 2025 ownership transition the Company wound down its lowest-margin accounts — South Florida Auction, Manheim Statesville, a block of one-off dealers. Gross profit still rose in 2025, and gross margin has since climbed to 51.3%. Adding back non-cash amortization (\$60,779) and a one-time bad-debt clean-up (\$135,028), 2025 normalized cash flow was **\$399,146**. On eight months of 2026, the run-rate is **\$1,327,254 of revenue and \$374,293 of net income**.

Balance Sheet — QuickBooks, Current

ASSETS	AMOUNT	LIABILITIES & EQUITY	AMOUNT
Cash	\$65,669	Accounts payable	\$0
Accounts receivable	\$101,071	Notes payable — all accounts	\$0
Goodwill & equipment	\$3,085,317	Net book equity	\$3,252,056
Total assets	\$3,252,056	Total	\$3,252,056

No debt. All fifteen liability accounts stand at nil. \$101,071 of receivables faces zero current liabilities. Goodwill of \$3,084,650 — 94.9% of assets — arose from the 2025 buyout of the former co-owner; it is non-cash, amortized over 15 years, and carries no obligation. The draft 2025 Schedule L still reports a \$2,821,500 note the books show at nil; the executed assumption document reconciles the two and is in the data room list.

Unit Economics

The whole model is one repeatable unit: **a condition-report writer producing \$7,500 of revenue a month at \$4,500 of cost** — a 40% gross margin. That assumption is held deliberately below what the business actually does.

METRIC	PLAN	2025 ACTUAL	2026 ACTUAL
Gross margin	40.0%	37.2%	51.3%
Revenue per \$4,500 of writer cost	\$7,500	\$7,162	\$9,235

By Department — The Line the Expansion Buys

DEPARTMENT (2026, JAN–AUG)	REVENUE	GROSS MARGIN
Condition Report	\$349,350	43.6%
Detail	\$332,397	60.7%
Photography	\$206,295	59.3%

The expansion is a condition-report build, and that department runs at **43.6%** against the **40%** modeled. The plan is conservative against the exact line of business it funds.

A Proven Site, Not a Projection

Manheim Dallas invoiced \$703,460 in 2025 and \$482,213 through August 2026 — a ~\$723,000 annualized run-rate from a single location, on \$25,000–\$30,000 invoices. The new site replicates a location the Company already runs profitably today.

The Expansion

Letters of Intent in Hand from Manheim

The expansion is not a business-development theory. Pride Dealer Services holds signed letters of intent from Manheim for additional locations, backed by Supplier Diversity Program certification and a performance record at Manheim Dallas. **The constraint on growth is working capital to staff the sites — not demand, and not access.**

What \$750,000 Builds: a 9-Writer Site

MONTH	WRITERS	COLLECTIONS	INCREMENTAL CASH	CUMULATIVE
Month 1	5	\$0	(\$22,500)	(\$22,500)
Month 2 — trough	9	\$37,500	(\$3,000)	(\$25,500)
Month 3 — cash-positive	9	\$67,500	\$27,000	\$1,500
Month 4	9	\$67,500	\$27,000	\$28,500
Months 5–12	9	\$67,500/mo	\$27,000/mo	\$244,500

\$810K

SITE REVENUE AT FULL
RAMP

\$324K

SITE GROSS PROFIT /
YEAR

Month 3

CASH-POSITIVE, NEVER
DRAWS AGAIN

4.2×

CUSHION VS. PEAK
DRAW

The only period payroll leads net-30 collections is month two, at **(\$25,500)** — covered 4.2× by the \$107,000 working-capital line in the use of funds. From month three the site pays its own payroll out of its own collections, and the round is sized so one site reaches full production rather than three waves reaching it slowly.

Use of Funds

USE OF PROCEEDS	TRANCHE 1	TRANCHE 2	TRANCHE 3	TOTAL
Field staffing & payroll ramp	\$140,000	\$160,000	\$70,000	\$370,000
Marketing & business development	\$30,000	\$30,000	\$25,000	\$85,000
Equipment & operational software	\$75,000	—	—	\$75,000
Supplies & materials	\$35,000	\$20,000	\$13,000	\$68,000
Start-up expenses	\$45,000	—	—	\$45,000
Working-capital cushion	\$25,000	\$40,000	\$42,000	\$107,000
Total	\$350,000	\$250,000	\$150,000	\$750,000

No proceeds fund owner compensation, distributions, or any existing obligation. Capital is called in three tranches against the ramp, not drawn in a lump — see Investment Structure. **All start-up costs, all equipment and the whole of wave-one payroll sit inside tranche one**, so the first call builds a complete, working five-writer site rather than a half-finished nine-writer one.

Why Equity, Not Debt

\$116,000 a Year Retained

A \$750,000 10-year facility at 9.5% costs roughly \$116,000 annually. Equity-funded, that stays in the business — close to \$580,000 across the five-year plan, compounding into the next site rather than servicing a lender.

No Financing Contingency

An SBA 7(a) facility was scoped for this expansion but is gated on a third-party document the Company does not yet hold. Equity removes the dependency and starts hiring on signature.

Capacity Preserved

Borrowing capacity is deferred, not lost. The Company enters expansion debt-free and can borrow later against a larger, more diversified base to fund site two — without further dilution.

Nothing Ranks Ahead

With no debt on the balance sheet, this round sits behind nothing. Investors are not subordinated to a lender, and there is no covenant package constraining the business.

Five-Year Projections

\$1.33M run-rate to \$2.84M by 2030 — 20.9% CAGR, debt-free

YEAR	EXISTING BASE	NEW SITE	TOTAL REVENUE	GROSS MARGIN	NET INCOME
2025 (actual)	\$3,859,075	—	\$3,859,075	37.2%	\$399,146 *
2026 (run-rate)	\$1,327,254	—	\$1,327,254	51.3%	\$374,293
2027 (site ramps)	\$1,459,980	\$712,500	\$2,172,480	47.4%	\$649,590
2028 (full run-rate)	\$1,605,978	\$810,000	\$2,415,978	46.6%	\$706,989
2029	\$1,766,575	\$850,500	\$2,617,075	46.1%	\$745,822
2030	\$1,943,233	\$893,025	\$2,836,258	45.5%	\$789,962

20.9%

REVENUE CAGR (2026 → 2030)

+111%

NET INCOME GROWTH

27.9%

2030 NET MARGIN

\$0

DEBT SERVICE DEDUCTED

* 2025 shown on the normalized cash-flow basis; general-ledger net income was \$203,339 before the amortization and bad-debt add-backs. 2026 annualizes eight months of actuals. Existing base grows 10%/yr; the new site follows the ramp on the previous slide and grows 5%/yr once at full run-rate; margin blends the existing book (51% tapering to 48%) with the new site at the modeled 40%. Net income is gross profit less operating expenses (\$380K in 2027 against a \$306K 2026 run-rate, scaling to \$500K in 2030). A further site would need additional capital and is not included. Management estimates, not guarantees.

Investment Structure

\$750,000 for 25%

\$2,250,000 pre-money · \$3,000,000 post-money · called in three tranches against the ramp · no existing debt of any kind.

Capital Call Schedule

TRANCHE	AMOUNT	EQUITY	CUMULATIVE	RELEASE CONDITION
1 — on closing	\$350,000	11.67%	11.67%	Signature. Funds all set-up, all equipment, wave one
2 — ~month 2	\$250,000	8.33%	20.00%	Wave one live and invoicing at the new site
3 — ~month 4	\$150,000	5.00%	25.00%	Nine writers live; site collections exceed site payroll

Price is fixed by the full commitment — every tranche buys at the same \$3,000,000 post-money, so completing the round is what earns the 25%. Both release conditions are objective and verifiable in the monthly departmental P&L the Company already reports from its general ledger; neither depends on a judgement call. Fully deployed inside roughly four months.

What the Investor Is Buying

8.0× current earnings — \$3,000,000 against \$374,293 of 2026 run-rate net income, or 7.5× 2025 normalized cash flow of \$399,146, and 3.8× projected 2030 earnings. A quarter of a debt-free business running a 28.2% net margin, at a price a buyer of a profitable services company would recognise rather than a venture multiple.

The return: a 25% stake earns roughly **\$197,500 a year by 2030** on a \$750,000 investment — a **26.3% yield on cost**, with nothing ranking ahead of it and the Company's borrowing capacity still untouched.

Downside on the structure: only \$350,000 is at risk before the first milestone is demonstrated, and that tranche alone builds a standalone five-writer site running at roughly \$450,000 of revenue and \$180,000 of gross profit a year. The investor sees the site working before the second call.

8.0×

POST-MONEY / CURRENT
EARNINGS

26.3%

YIELD ON COST BY 2030

\$0

DEBT AHEAD OF
INVESTORS

Intact

BORROWING CAPACITY
PRESERVED

Indicative terms, subject to definitive documentation. Percentages assume a single class of common equity and no option pool; any pool is expected to come from the pre-money.

Risks — Stated Plainly

1. Customer concentration

Manheim and Dent Wizard are **99.7%** of 2026 revenue; Manheim Dallas alone is **54.5%**. Non-anchor revenue has fallen to \$2,905.

Mitigation: \$85,000 of the raise funds business development to rebuild the non-anchor book, and the new site widens the base. Both anchors are multi-year, multi-location relationships, not single points of contact.

2. The business is smaller than it was

Revenue fell from \$5.46M in 2024 to a \$1.33M run-rate. **Mitigation:** deliberate. The Company exited its lowest-margin accounts; gross profit rose in 2025 and gross margin has gone from 26.0% to 51.3%. Net margin is 28.2%. This is a smaller, far more profitable business — but an investor is buying the recovery, not the 2024 scale.

3. Goodwill dominates the balance sheet

94.9% of the \$3.25M asset base is goodwill from the 2025 buyout; tangible assets are \$167,407. **Mitigation:** goodwill is non-cash and carries no obligation, and against those thin tangibles sit **no liabilities at all** — \$101,071 of receivables face zero current liabilities.

4. Execution on the ramp

The plan hires 9 writers in a new market inside two months. **Mitigation:** the \$7,500 / \$4,500 unit sits between two verified actual years (\$7,162 in 2025, \$9,235 in 2026), the condition-report department already runs 43.6% against 40% modeled, and Manheim Dallas is the template being copied. The cushion covers the peak draw 4.2×, and the site turns cash-positive in month three.

5. Records clean-up outstanding

The draft 2025 Schedule L reports a \$2,821,500 note the books show at nil. **Mitigation:** this round does not depend on resolving it — there is no lender to satisfy — but the executed assumption document is in the data room list and the return should be corrected before filing.

Summary & Next Steps

\$750K

RAISE

25%

EQUITY

\$2.25M

PRE-MONEY

8.0×

CURRENT EARNINGS

Profitable Today

51.3% gross and 28.2% net margin on 2026 actuals, every figure from the general ledger.

Debt-Free

Every liability account at nil. Nothing ranks ahead of this round, and borrowing capacity is intact.

Demand Already Secured

Letters of intent in hand from Manheim. Working capital is the constraint on growth — not demand, not access.

A Unit That Works

\$9,235 of revenue per \$4,500 of writer cost against \$7,500 modeled. Manheim Dallas runs at ~\$723K a year alone.

Pride Dealer Services came through its 2025 transition smaller, debt-free and three times more profitable per dollar of revenue. It holds letters of intent from Manheim for additional locations and a proven site economics model. The only thing standing between the Company and the next location is working capital to staff it.

Next Steps

1. Diligence	Live QuickBooks P&L and balance sheet, returns, AR aging, Manheim LOIs
2. First call	\$350,000 at close — set-up, equipment and wave-one hiring
3. Calls two and three	\$250K on wave one invoicing; \$150K at full production
4. Reporting	Monthly P&L by department, AR aging and concentration to investors

Nelson Cajas · Pride Dealer Services · Fort Lauderdale, FL